

The Chill Factor

FOCUS FEATURE ON
AIRCON INDUSTRY

Aircon Industry
A CLIMATE FOR CHANGE

INDIA'S AIR-CONDITIONING INDUSTRY LEADS THE WAY FOR TECHNOLOGICAL INTERVENTIONS AS WELL AS HEALTHCARE TO UP THE ANTE FOR CONSUMER COMFORT

With the summer of 22 upon us, even hotter than before, India's air-conditioning industry stalwarts are on a rollercoaster ride to meet the galloping consumer demand to cool things down. It's worthy of note that across the industry the winds of change are sweeping away the cobwebs of apathy to the environmental hazards; now, even more strenuously, leaner greener solutions are in the pipeline in response to the growing concerns of health and climate change and the need for mindful lifestyle choices for environmental sustainability.

GREENING OF INDUSTRY ON THE MOVE

India's air-conditioning industry has been making radical adjustments to address this enhanced person-environment connectedness, by setting the pace for reimagined, greener cooling options for consumers. In response to the government's intervention policies, such as the ban on imports of refrigerant-filled air conditioners, industry biggies have embraced the call for 'Make in India' and 'Atmanirbhar' for self-reliance and are speeding up the process of fresh investments and job creation.

Advancements in technology in the industry have been pivotal to the changes that consumers seek for a more sustainable future; the tech-driven air-conditioning industry is one such area where we will continue to see exciting changes in this endeavour.

PERISCOPE

At 5% penetration, as against the 90% in developed countries for this category, the air conditioner is one of the lowest penetrated product categories in India. This creates an area of great opportunity for industry stalwarts in the country. India's air conditioning market is subjected to several market drivers, including a rise in demand from the industrial sector, growing GDP, rising per capita income, the spurt in sales through e-commerce and more. The air conditioner market of India was valued at USD4, 287.41 million in 2021 and is expected to grow at a CAGR of 6.08% in the forecast period 2017–2027, because of factors including increase temperature, rising demand from the residential as in well as commercial sector, etc.

The Indian residential AC market, which is one of the most rapidly developing segments, is expected to be around 7 to 7.5 million units, with over 15 companies operating in the space, as envisaged by Eric Braganza, President, Consumer Electronics and Appliances Manufacturers Association (CEAMA). Dominating the market is the residential air conditioner segment, which is taking away the lion's share of the business in terms of revenue and volume share, which it has done, for example, in 2021. The ongoing hybrid work-from-home model is also set to drive this market further. The envisaged rise in growth, in the number of construction projects such as residential complexes and upcoming government-funded residential projects-Housing for All, Pradhan Mantri Awas Yojana (PMAY) in 2-tier and 3-tier, is expected to contribute significantly also to this development in demand for ACs.

The commercial, retail and industrial AC segments are not expected to lag either, as growth is bound to be fuelled by the mushrooming industrial projects, hotels, hospitals, shopping plazas, food courts and other commercial structures in the Tier-1 and Tier-2 cities. In fact, these cities have shown a more aggressive stance in recent years for capturing a significant share of sales. This in turn is seeing a spurt in investment in in growing the business in 2-tier and 3-tier cities, from several big firms such as Voltas and Daikin.

India's air conditioning market is also segmented by product type–categorized by Split, Window, VRF, Chillers and others, including Cassette, Ductable Splits, etc. By room type, the lion's share has been corralled by split ACs in both in the revenue and in the volume share, driven by greater consumer awareness for more energy-efficient products in both residential and commercial spaces.